NATIONAL COMPANY LAW TRIBUNAL,
NEW DELHI BENCH (COURT-II)
IN
Company Petition No. (CAA)-115(ND)/2022

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

First Class Realtors Private Limited ... **Petitioner No. 1/ Transferor Company**

AND

AJNR Trading Enterprises Private Limited ... **Petitioner No. 2/ Transferor Company**

AND

Aagya Enterprises Private Limited ... **Petitioner No. 3/ Transferee Company**

WITH

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on 15.01.2024

Under Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. SUBRATA KUMAR DASH, HON'BLE MEMBER (T)

PRESENT:

For the Petitioners : Adv Saurabh Kalia, Adv. Sarvik Singhai, Adv. Prakhar

For the RD : Adv. Shankari Mishra

For the OL : Ms. Hemlata Rawat

ORDER

The present petition has been preferred by the Petitioner Companies under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. M/s First Class Realtors Private Limited (hereinafter referred to as "the Petitioner No.1/Transferor Company") having CIN U70101DL2012PTC232956 is a company incorporated on 15.03.2012 under the Companies Act, 1956. The registered office of the Transferor Company is situated at 1855, Basement, Gali Wazir Singh, Allahabad Bank- Building, Chuna Mandi, Pahar Ganj, New Delhi - 110055

3. AJNR Trading Enterprises Private Limited (hereinafter referred to as the "Petitioner No. 2/Transferor Company") having CIN U451OODL2016PTC 305418 is a Company incorporated under the provisions of the Companies Act, 2013 on 05.09.2016. the Transferor Company No. 2 is having its registered office at JB-6/245, First Floor, Welcome Seelampur, Delhi - 110053.

4. Aagya Enterprises Private Limited (hereinafter referred to as the "Petitioner No. 3/Transferee Company") having CINU45100DL2010PTC

206939 is a Company incorporated under the provisions of the Companies Act, 1956 on 11.08.2010. The Transferee Company is having its registered office at 1855, Basement, Gali Wazir Singh, Allahabad Bank Building, Chuna Mandi, Pahar Ganj, New Delhi - 110055.

4. The present Petition has been filed by the Transferor Companies and Transferee Company. Hereinafter, all the Petitioners, viz. the 'Transferor' and 'Transferee' Companies together are called 'Petitioner Companies'. The Registered offices of all the Companies being in Delhi, the jurisdiction lies with this Bench.

5. From the records, it is seen that the First Motion petition was filed by the Petitioner Companies for seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Companies. In the First Motion Application bearing No.- CO. APPL. (CAA) 101/ND/2022, vide Order dated 03.11.2022, this Tribunal had dispensed with the requirement of convening the meetings of the equity shareholders and Creditors.

6. The Appointed date as per clause 1.7 (ii) of the Proposed Scheme of Amalgamation is 01.04.2022.

7. Subsequently, the Second Motion petition was moved by the Petitioner Companies in connection with the scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities,

Official Liquidator and to such other Objector(s), if any, and also for publication of the said Scheme. Directions were issued, in terms of the Order dated 16.12.2022, passed by this Tribunal, requiring the Petitioner Companies to carry out necessary publication with regard to the said Scheme in Business Standard" (English) and Jansatta (Hindi) Edition newspapers.

8. It is submitted by the Petitioner Companies that in compliance of the above stated directions, the Petitioner Companies have filed Affidavit/Proof of Service confirming that the aforesaid Notice qua the present Company Petition was published in the "Business Standard" (English) and Jansatta (Hindi) on 28.12.2022.

9. Accordingly, the RD has filed its report dated 23.03.2023 and has stated in its report that no prosecution has been filed and no investigation or inspection has been conducted in respect of the Petitioner Companies. Further on the basis of the observations of the RoC the RD has observed that there is a demand of Income Tax, which is reflecting on Income Tax portal. The relevant excerpts of the report reads thus:

- *With respect to Transferee Company auditor has stated in his report for the F.Y.2021-22, that the there is an outstanding Demand standing in the portal of income tax as on 31.03.2022. The details of the demand are as under:-*

A.Y.	Section	DIN	Date on which Demand	o/s Demand	Interest
2012-13	147	2019201210000978032C	25.11.2019	18,26,270/-	5,35,903/-
2019-20	143a	2019201937105959766C	13.02.2020	260/-	32/-
2013-14	147	2021201337005230560C	30.03.2022	79,00,490/-	0/-
2013-14	147	2021201337005230560C	30.03.2022	2,21,000/-	0/-
2014-15	147	2021201437005312514C	31.03.2022	1,01,20,030/-	0/-

10. The Petitioner Companies have filed their reply dated 29.05.2023 and have stated that the Income Tax Department has given no objection towards the scheme and the Transferee Company would be in existence post approval of the scheme.

11. In our view the scheme will not come in way of the Income Tax Department to recover its dues from the Transferee Company as it will not be dissolved post approval of the scheme of Amalgamation. In absence of no material objection raised by the RD we would like to proceed ahead with the matter.

12. The OL has also filed its report dated 10.04.2023 and has not raised any objection towards the approval of Scheme. The relevant excerpts of the OL report read thus:

> *"15. That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 2013."*

13. Though the Petitioner Companies in their reply dated 29.05.2023 has stated that the Income Tax Department has filed its reply, however, from perusal of the record it is observed that the Report of Income Tax is not available on record. Hence it is presumed that they have nothing to say in the matter. However, the interest of the revenue has already been safeguard in terms of Para 11 of this order.

14. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of both the Petitioner Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Official Liquidator, Regional Director (North), Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. Accordingly**, sanction is hereby accorded to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company and Transferee Company (Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

15. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

16. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the

approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961. The Petitioners would also be not entitled to any benefit of Income Tax on account of carried forward accumulated losses under any circumstances.

17. **THIS TRIBUNAL FURTHER DIRECTS** with respect to the Petitioner Companies, that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 01.04.2022, both the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Companies which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) That the proceedings, if any, now pending by or against the Transferor Companies be continued by or against the Transferee Company;

(vi) That the Transferee Company shall, without further application, allot to the existing members of the Transferor Companies shares of Transferee Company to which they are entitled under the said Scheme;

(vii) That as per the Section 232(3)(i), the fee, if any, paid by the Transferor Companies on their authorized capital shall be set off against any fees payable by the Transferee Company on its authorized capital subsequent to the sanction of the 'Scheme';

(viii) That the carry forward and set off of accumulated losses in the Petitioner Company, if any, shall be subject to applicable provisions of Income Tax including Section 72A and Section 79 of the Income Tax Act, 1961;

(ix) That the assessment under the Income Tax Act, if any will be in accordance with the provisions of Section 170 (2A) of the Income Tax Act, 1961;

(x) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the transferor Company and the transferee company, in respect of the assets sought to be transferred under the proposed scheme.

(xi) That the Transferee Company shall file the revised memorandum and articles of association with the concerned Registrar of Companies and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company; after setting off the fees paid by the Transferor Companies;

(xii) That the Petitioner Company shall, within 30 days after the date of receipt of this order, cause a certified copy of this order to be delivered to the concerned Registrar of Companies for registration; and

(xiii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

18. As per the aforesaid directions, formal orders in Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 be issued after the filing of the Scheduled of Properties within three weeks from the date of receiving a certified copy of this order by the petitioners.

19. The Petitioner Companies shall within thirty days of the date of the receipt of this Order or on sanction of the Scheme with respect to Transferee Company, whichever is later, cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified

Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to both the Petitioner Companies shall be consolidated accordingly. All the concerned Regulatory Authorities are to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar of this Bench.

20. **The Company Petition is disposed of in the aforesaid terms**.

Sd/-	**Sd/-**
(SUBRATA KUMAR DASH)	**(ASHOK KUMAR BHARDWAJ)**
MEMBER (T)	**MEMBER (J)**